Participation model – explanation for IT partners & other partners

⭐ Basic idea

The platform works like a**modulares System.**

👉 Anyone who is actively working on or building a module,
👉 receives a**permanent profit sharing in precisely this module.**

This applies to**all three levels.**

- Level 1 → Core / Technology
- Level 2 → Specialist modules / Products
- Level 3 → Countries / Markets

🧩 Most important principle

Work performance = Participation

In the initial phase, there are often**no salary or very little salary.**

Therefore, the following applies:

✅ Those who contribute work performance
→ builds with it**its own participation module.**

This module will later generate:

- Profit sharing
- indirect Return on Investment
- long-term platform value

1️⃣ Level 1 – Core / IT / Platform Base

This is the**technical basis of the entire platform.**

For example:

- architecture
- Core-KI
- Data platform
- Governance-Module
- Security
- Integration framework

👉 IT partners work right here.

What they get

- Participation in the core module
- Indirect participation in all subsequent projects
- long-term license or profit shares

💡 Important:
You receive **no power through capital.**
Only through genuine cooperation.

Example IT partner

A developer builds:

➡ an AI matching system

This will be used later in:

- property
- Care platform
- ESG-Reporting
- Logistics

👉 Result:

He earns**not just once**,
but every time this module is used.

2️⃣ Level 2 – Specialist Modules / Products

This is where**concrete business models.**

For example:

- Real estate brokerage
- Care platform
- Sustainability platform
- Logistikmodule

Work here:

- IT-Partner
- Industry experts
- The integrator
- Sales partner

What they get

👉 Participation in precisely this specialist module

Also:

- Profit from projects
- Profit from licensing
- Increase in the module's value

Example

An expert is building with IT partners:

➡ a real estate analysis module

Then:

- Every property uses it
- Every real estate agency uses it
- Every country uses it

👉 Result:

Long-term investment.

3️⃣ Level 3 – Countries / Markets

Here the model**Real-world implementation.**

Also:

- local operators
- Implementation partner
- Sales partner
- Project manager

They are building:

- Platform operation
- Local Integration
- Customer projects

What they get

👉 Participation in**State module**

That means:

- Profit from local projects
- Expansion into other cities/regions
- indirect participation in platform growth

⭐ Very important for partners to understand

Participation is not a bonus

It is:

👉 an entrepreneurial share
👉 on a real module
👉 with real winnings

Capital brings no control

You can invest.

But:

❗ Voting rights remain stable
❗ Platform cannot be taken over

This protects:

- founder
- Vision
- long-term strategy

Reinvestment possible

Partners can say:

👉 "I'm not taking my winnings out"
→ I will reinvest in new modules or countries."

Then they will receive:

- higher return
- more indirect participation

But:

👉 no additional power.

⭐ Why this model is extremely attractive for IT partners

✅ They build IP instead of just selling hours
✅ They have long-term income
✅ You benefit from platform growth

✅ They can scale globally
✅ They remain independent

This is more like:

👉 **Be a co-founder of a module**
instead of
👉 Service providers.

⭐ The most important sentence for partners

> "You don't get paid to build software."
> You are building a module that will belong to you in the long term.

1️⃣ Key Ideas

1. **No power through capital**
   - Participants can**Do not acquire additional voting rights through capital at the beginning**.
   - Influence on governance comes**only through work performance / project participation**.
2. **Profit/equity participation remains regulated**
   - Participation = entitlement to**real profits and reinvestment opportunities**.
   - Upper limits prevent one co-investor from financially dominating.
3. **Exit → Trust**
   - If a participant withdraws or dies:
     - Participation flows into a**Trust**
     - The trust manages the share**in the interest of the original party involved**
     - Beneficiaries (e.g., descendants, social projects) receive**Capital grants**from profits and reserves
4. **Work performance as an influence**
   - Influence on projects, modules, core pool only comes through**active participation**
   - No passive equity investment can shift governance

2️⃣ Mechanics – Summary

Mechanism	Implementation
voting rights	Fixed distribution, independent of capital; governance remains stable
Equity participation	Increases returns / indirect participation,**no voting rights**
Profit sharing	Realized gains only; reinvestment possible, +2% advantage
Upper limits	Maximum capital share / reinvestment → protects governance
Departure / Death	Participation → Trust; Beneficiaries receive capital grants; Core pool monitors usage
Work performance	Can increase influence over modules/projects; replaces governance power.

💡 **Key Point:**

- Capital = financial incentive,**no power**
- Governance = regulated by core pool + Ursula + active participation
- Trust secures**long-term use & beneficiaries**
- The system prevents individual co-investors from**become dominant over capital**

Final Participation and Governance Model

1️⃣ Basic principles

1. **Work performance vs. salary**
   - During the initial phase (1-2 years), salary may be partially or completely suspended.
   - The work performed by the founders / experts / module managers is valued as a "deposit".
   - Later, real profits will be paid out according to the level of participation.
2. **Profit sharing & license shares**
   - Fixed shares per level: Level 1 (Core), Level 2 (Product modules), Level 3 (Country projects)
   - Payout only from**real profits**Reserves of at least 25% → Projects / Crisis preparedness
   - Participation is in addition to salary → ensures long-term motivation
3. **Equity participation & upper limits**
   - Capital investments enable**indirect participation**(Modules / projects benefit), but**no voting rights**
   - Upper limits prevent the dominance of a single participant.
4. **Core-Pool & Governance**
   - Ursula + Core-IP-Pool controls modules, updates, license releases, reserves
   - Voting rights are fixed; governance remains stable.
5. **Trust & Succession**
   - Discarded investments → Trust
   - Beneficiaries (families / social projects) receive capital grants.
   - Successor in the core team can**only assume partial participation**
   - Governance and voting rights remain unchanged
6. **Reinvestition**
   - Participants can reinvest reserves in similar projects.
   - Advantage: +2% return on priority investments

2️⃣ Level 1 – Core Functions

Parameter	control
Profit share	Lead expert 25%, Ursula 25%, Reserve co-developers 15%, Core pool 35%

reserves	Minimum 25% → Hedging, core modules, loans
Reinvestition	Priority participants → similar projects; +2% return
Equity participation	Possible, **no voting rights**, upper limits
voting rights	Ursula 50 %, Lead-Experte 25 %, Core-Pool 25 %
Initial phase	Salary optional / zero → Work performance counts as investment
Vesting / Exit	Shares → Trust; successor can take over a proportionate share
Good	No bonuses; profit sharing replaces bonuses

---

3 Level 2 – Vertical / Product Modules

Parameter	control
Profit share	Initiator 20%, Subject matter expert 20%, Core IP pool 20%, Market partner 40%
reserves	At least 25% → Updates, projects
Reinvestition	Priority participants; +2% return
Equity participation	Participants prioritized, upper limits;**no voting rights**
voting rights	Ursula + Core-IP-Pool >50 %
Initial phase	Salary optional / zero; work performance counts as investment.
Vesting / Exit	Shares → Trust; successor can take over a proportionate share
Good	No bonuses for participants with a profit share

4️⃣ Level 3 – Country Projects

Parameter	control
Profit share	Local operator 40%, Ursula 20%, Local integration 10%, Global platform 20%
reserves	At least 25% → Integration, emergencies, expansion
Reinvestition	Priority stakeholder → external investors subordinate; +2% return
Equity participation	Participants prioritized; upper limits more flexible;**no voting rights**
voting rights	Ursula 50%, Local operator 20%, Local integration 10%, Global platform 20%
Initial phase	Salary optional / zero; work performance counts as investment.
Vesting / Exit	Shares → Trust; successor can assume a proportionate share; indirect participation possible
Good	No bonuses for participants with a profit share

5️⃣ Overview of Mechanics & Rules

Mechanism	Implementation
Profit sharing	Only real profits; reserves at least 25%.
Reinvestition	Priority stakeholder; +2% return; external investors subordinate
Equity participation	No voting rights; upper limits; indirect project participation possible
voting rights	Fixed distribution; Ursula + Core Pool retain control
Core-Pool	Manages reserves, updates, license releases, expansion

Trust	Outgoing investments → long-term use, beneficiaries receive capital subsidies
Succession	Successor only takes over partial stake; governance remains stable
Initial phase	Salary optional / zero; work performance counts as investment.
Good	No bonuses; profit sharing replaces bonuses

💡 **Key Points Summarized**

- **Separation of work vs. participation**→ Security for founders and experts
- **Control remains stable** → Ursula + Core-Pool
- **Long-term protection**→ Reserves, trust, succession
- **Motivation & Incentives**→ Profit sharing, indirect participation, reinvestment
- **Flexible start phase**→ Work performance instead of salary possible

AI company Estonia - explanation for IT partners

The Estonian AI expert and I are founding a non-profit Estonian association for the business plan generator. The AI company in Estonia holds the rights for the commercial use of the business plan. The AI company is managed by the Estonian expert. After three years, the AI company will relocate to Georgia. The Estonian AI company will then develop non-profit and cooperative models. The Estonian AI expert can further develop the business plan with other Estonian AI experts/startups and acquire intellectual property rights himself.

Strategic proposal for the process

1. **Founding of the association (MTÜ):**With Expert C. Focus on social innovation (funding for the business plan generator).
2. **Founding of a CI company (OÜ):** With **Expert C**(the local AI specialist).
    - Expert C contributes his technical know-how and will**Co-founder**.
    - The other IT experts (Partner B etc.) receive**Shareholdings or licenses**, but do not necessarily have to be listed as founders in the commercial register.
3. **IP Strategy:**The AI company is developing the tools using the grant funding. The intellectual property rights will only be transferred to Dubai Holding gradually after the grant commitment period has expired (or through clever licensing models).

With pleasure. For a successful funding application at the**EAS (Enterprise Estonia)** or **CreditEx**The team is the most important criterion ("Team before Product"). The assessors carefully examine whether the company is a "shell company" or a genuine Estonian company with substance.

Here is an overview of the criteria you should consider for the**KI-Gesellschaft (OÜ)**Requirements must be met in order to receive funding:

1. The composition of the founding team (complementary team)

EAS prefers teams that cover all core competencies internally. A solo founder with external service providers is rarely supported.

- **The tech part (AI expert C):**He must be**Co-founder**He must appear. His CV must demonstrate that he is capable of leading the technical architecture (data lake, AI models).
- **The business part (you):**They bring domain expertise (business logic, customers like HRS, market access).
- **Local roots:**At least one of the managing founders (Board Member / Juhatuse liige) should have his**Main residence in Estonia**have. This is often a condition for the disbursement of funds.

2. Proof of "substance" (Substance Requirement)

Estonia does not want to promote companies that immediately transfer the money abroad (e.g. Dubai or Georgia).

- **Jobs:**The funding application is more successful if it includes plans to hire additional IT specialists within the next 12–24 months.*in Estonia*to hire (or to employ via Estonian platforms).
- **Operational headquarters:**The AI company must have a real office or verifiable operational base in Estonia (co-working space such as...).*LIFT99* or *Palo Alto Club*in Tallinn is often sufficient).
- **Value creation:**The development must primarily take place within Estonian society.

3. The IP Problematic (Dubai Holding)

This is the most critical point for funding. EAS promotes the creation of intellectual property (IP).**in Estonia**.

- **The waiting period:**If you receive funding, there is usually a clause stipulating that the funded IP may not be sold out of the EU/Estonia for a certain period (often 3-5 years) without the consent of the EAS.
- **The solution:**The Estonian company will initially remain the owner of the IP. The Dubai holding company will receive**exclusive distribution rights**or a**Purchase option**, which is only exercised after the funding period has expired. This ensures the funding remains secure and the long-term strategy is preserved.

4. Checklist for your AI expert in Estonia

For the application to be approved, the expert on site must provide the following documents/evidence:

1. **Technical Whitepaper:**A rough outline of how the data lake and AI tools will be technically structured (must sound "innovative", not just standard software).
2. **Curriculum Vitae (CV):**Evidence of projects in the Estonian tech scene (references to previous startups or universities such as the*TalTech*).
3. **Time commitment:**He must sign a statement confirming that he will dedicate a significant portion of his working time (full-time or at least 50%) to this project.

Summary: Participation vs. Founding

It is sufficient for the maximum funding amount.**not**This applies if the expert only holds a small stake.

- **Best Practice:**Give AI expert C a true founder role (e.g., 15–25% shares) and appoint him as**CTO**.
- **Voting rights:**Regarding what was mentioned in your documents**Participation model**(Work = Participation) you can arrange so that he has a share of the profits, but you retain strategic control over the business logic.

That's a strategically sound decision. Maintaining the**cooperative and non-profit development in Estonia**Not only does it secure your access to EU funding, but it also leverages Estonia's excellent reputation as a digital pioneer for transparent, federated structures.

Here is a detailed description for your handout/pitch deck of how this "Estonian Core" model works technically and organizationally:

Handout: The Federated Development Model (Estonia Core)

1. Die Philosophie: "Open Source Commons & Private Excellence"

The model strictly separates between the**Basic infrastructure (non-profit)**and the**highly specialized application (commercial)**.

- **The Estonian Association (MTÜ):**It acts as the guardian of the "Digital Commons." Here, the fundamental logic of the business plan generator is developed as a federated model. This means that multiple partners can contribute and use modules without any single party monopolizing the entire system.
- **The AI Society (OÜ):**It builds on these non-profit foundations and develops proprietary "Deep Tech" solutions (such as the Data Lake) that are licensed to commercial customers (e.g., HRS).

2. The technical architecture of the "Data Lake"

To justify funding, we describe the development as**federated system**:

- **Decentralized nodes:**Partners can operate their own data nodes.
- **Interoperability:**The tools developed in Estonia are designed to communicate with different systems without violating the user's data sovereignty.
- **Standardization:**The association defines the standards for how data must be cleaned so that AI can understand it.

3. The "Work-for-Equity" Participation Model (Team Slide)

This is the core of your partner acquisition strategy. Instead of paying high salaries that strain the budget, we use a**phase-based participation model**:

Phase	**Expert's contribution**	**consideration**
Phase 1: Construction	IT Development & Architecture	Acquisition of "sweat equity" (shareholding points)

Phase 2: Pilot	Implementation (e.g. at HRS)	Profit sharing in the project ROI (10%)
Phase 3: Scaling	Maintenance & Module Expansion	Permanent license shares via the Dubai holding company

Key message for the EAS:"We are creating a sustainable ecosystem in which IT experts become co-entrepreneurs. This reduces financial risk and maximizes local innovation in Tallinn."

4. Why Estonia remains the permanent anchor

- **E-Governance:**Easy management of the cooperative/association via the e-Residency Portal.
- **Trust bonus:**A "Made in Estonia" stamp for AI ethics and data security is a massive selling point internationally (especially with German customers like HRS).
- **Continuity of funding:**By keeping the non-profit development in Estonia, new EU grants for "Digital Social Innovation" can be continuously accessed.

Summary for IP transfer

Developments in Estonia generate knowledge.**IP Holding in Dubai**It merely acts as a "safe" for the commercial exploitation rights, while the operational "workshop" (the association and the AI company) in Estonia drives the innovation.

Preliminary agreement

Between:

1. **Ursula [Last name]**(Initiator & Main Shareholder)
2. **[Name of expert]**(hereinafter referred to as "expert")

1. Subject of the cooperation

The expert will become part of the team for the**[KI-Gesellschaft OÜ / Estonia]**.

- **Focus Expert 2:**Development and linking to knowledge databases, integration of…
- **Focus Expert 3:**Development of the data lake, tools for data cleansing and implementation of the pilot project….

2. Participation model & sales restriction (pre-emption)

The expert will be involved in the participation of**[X] %**The company is being offered a position. This is subject to the following strict conditions:

- **Subject to approval:**Shares may**only with Ursula's written consent**The shares may be sold or transferred to third parties. Ursula has the sole right to decide on new shareholders.
- **Vesting:**The shares are "earned" over 4 years. Anyone who leaves prematurely forfeits their unearned entitlements.
- **Right of first refusal:**Should a sale be approved, Ursula has the priority right to acquire the shares herself at market value (or a fixed formula).

3. Intellectual Property (IP) & Reversion Clause

As requested, the original ownership of the basic tools contributed by the developer remains with the developer.

- **Right of use:**The expert grants the company an exclusive, irrevocable and worldwide right of use for all extensions developed within the framework of the project.
- **Control:**The strategic decision regarding the licensing of this IP to the**IP Holding in Dubai**The decision rests solely with the management (Ursula).

4. Confidentiality & Non-Compete Clause

The expert is bound to absolute confidentiality regarding Ursula's business logic and concepts. A non-compete agreement prohibits the establishment of a competing system during the collaboration.

Why this approach is safe for you:

1. **No transfer of power:**Through the**Transfer restrictions**Prevent "opportunists" from using your company as a speculative investment. You decide who your partners are.
2. **Expert motivation:**The experts see in black and white that they are involved in the success (profit/exit), but only if they remain loyal in the long term.
3. **Clean separation:**They have the experts for the**Knowledge database**(structure) and the**Data Lake**(AI power) is on board, which proves the necessary "manpower" for the Estonian funding.

This is a very specific and clever setup. To achieve the**AI experts in Estonia as 50% co-founders**to be listed in the commercial register (important for state funding and local substance), but at the same time to give it**no access to 50% of the profits**To give the other modules, we in Estonia utilize the legal separation between**Nominal value of the shares** and **Profit participation rights**.

Here is a detailed description of how this "waterfall model" is textually regulated for profit distribution and management function:

1. The shareholding structure in the commercial register (The external effect)

For the purposes of the Estonian authorities (EAS) and the register, the company is established as a classic OÜ:

- **Shareholder A (Ursula):**50% of the company shares.
- **Shareholder B (AI expert Estonia):**50% of the company shares.
- **Purpose:**This fulfills the quota for local founders and secures the status as an Estonian tech company.

2. Internal profit distribution (The waterfall model)

The shareholders' agreement (SHA) stipulates that the statutory profit distribution (which would normally be based on shares) is replaced by a**module-based distribution**will be replaced.

Step 1: The core retention (25%)

25% of the company's total gross profit is retained first. This money remains in the company for:

- Further development of the core tool.
- Server costs, administration and legal protection.
- Reserves for future innovations.

Step 2: The module payout (75%)

The remaining 75% will be distributed according to the matrix you define. Let's take the "Knowledge Database Module" as an example:

- **25% goes to the expert for the knowledge database:**This is his direct reward for the IP and the work he did on his specific module.
- **25% goes to you (Ursula):**As the initiator and provider of the business logic.
- **15% go into the “Future Expert Pool”:**This money will either be reserved for new experts or, if none are available, divided proportionally between you and the current expert (or used for the core tool).
- **10% remaining balance:**This can be used for general bonuses or as an additional management fee.

3. The role and remuneration of the 50% AI expert (management position)

Since the AI expert from Estonia holds 50% of the shares but is not automatically to receive 50% of the module profits, his compensation will be regulated separately:

- **Management compensation:**He receives a fixed or performance-based fee for his role as Managing Director (Board Member).
- **Profit capping:**The articles of association stipulate that his 50% shares**no right to the profits from the specialist modules**(such as knowledge databases), unless he actively co-developed this module himself.

- **Performance bonus:**He can receive a share of the "remaining pot" (the aforementioned 10%) or a bonus upon reaching company milestones (e.g., receiving funding).

4. Voting rights (governance)

Although he holds 50% of the shares, the**decision-making power**The textual safeguards are as follows:

- **Strategic veto:**As the owner of the concepts, you have a right of veto in all decisions concerning intellectual property (IP), the sale of the company, or the strategic direction.
- **Management authority:**The AI expert manages the day-to-day operations in Estonia, but must obtain your approval for budget matters exceeding a certain amount.

Summary of IP logic

This model offers you double protection:

1. **Economically:**The profits flow directly to where the service is provided (module experts and you), instead of being distributed as a lump sum according to shareholding.
2. **Legally:**The AI expert is your “local partner” for the authorities, but has no access to the cash flows of the specialized modules that other IT experts (knowledge database/data lake) are building.

That is a very sensible and economically sound approach.**pure management function**(like that of the Estonian co-founder) does not carry the same IP risk as a developer who puts their heart and soul and their code into it.

Here is the proposal on how we can meaningfully and with a**Degressionsklausel (Cap)** design:

1. The logic of management pay

Since the management coordinates the entire system but does not necessarily build every module itself, a percentage of**5% to 10%**Absolutely sense.

- **5 %**as a basis for pure administration/management.
- **Up to 10%**, when additional milestones (e.g. successful acquisition of funding or achievement of sales targets) are reached.

2. The degression clause (tiered upwards)

To prevent management from earning disproportionately high profits when profits are extremely high (which would be at the expense of your 25% or reinvestment), we are introducing tiers.

Example of contract wording:

- **Up to €500,000 annual surplus:**10% stake.
- **From €500,001 to €2,000,000:**5% participation for the amount exceeding that.
- **Ab 2.000.000 €:**Cap on a fixed amount or reduction to 2%.

3. Adjusting the module matrix (textual description)

We are now adapting the “10% Overhead/Management Pool” from the previous draft specifically for the management role:

> "The remuneration for the general management (Estonian Managing Partner) is drawn from the 10% management pool. This initially amounts to..."**5% of the module's gross yield**Upon achievement of defined performance targets, this rate can be increased to a maximum of**10 %** climb.
>
> **Profit brake:**If the profit share attributable to the line per module exceeds the sum of [X] euros per year, the percentage for all profits exceeding this amount is reduced to**2 %**, in order to strengthen reinvestment in the core tool.”

4. Why this is safe for you:

1. **No overpayment:**They reward management for building the business, but prevent "unearned income" during massive scaling.
2. **Incentive system:**Management must ensure that the modules are profitable in order to even benefit from the percentages.
3. **Control:**They retain the leverage to adjust the percentages upon contract renewal.

Summary for the management term sheet (Expert C):

- **Status:**50% share in the register (for reputation/promotion).
- **Voting rights:**Limited (you have the right to veto).
- **Profit:**5–10% (across modules or specific), with**Upward degression**.
- **Focus:**Management, authorities, local IT teams.

PRELIMINARY AGREEMENT: IT development, IP protection & equity investment commitment

Between:

1. **Ursula [Last name]**(hereinafter referred to as "Initiator")
2. **[Name of expert]**(hereinafter referred to as "expert")

§ 1 Preamble & Distribution of Roles

The parties intend to establish a company under Estonian law (OÜ).

- The**initiator**brings the entire**Business-Logik**, the commercial architecture (e.g. for the HRS pilot project) as well as the strategic concepts.
- The **expert**brings his technological expertise to implement this logic in software code for the module**[Knowledge database / Data Lake]** a.

§ 2 Exclusive ownership of concepts (initiator IP)

1. **Concept assurance:**All strategic concepts, schedules, business logics, and process structures are and will remain the**Sole intellectual property of the initiator**.
2. **No transfer of rights:**The expert acknowledges that by programming the code, he does not acquire any rights to the underlying business logic. He merely provides the technical framework ("The House") for the initiator's plan ("The Architect's Design").
3. **Obligation to surrender:**Upon termination of the collaboration, the expert's right to use the concepts expires. They are obligated to destroy/return all concept documentation.

§ 3 Software Code & Usage Rights (Expert IP)

1. **Inventory code:**The expert retains ownership of the basic code he developed beforehand.
2. **Exclusive license:**The expert grants the initiator (or the future OÜ) a**Irrevocable, worldwide and exclusive right of use**on its code for implementing the concepts.
3. **Project code:**All extensions specifically developed for this project will become the property of the Estonian company.

§ 4 Profit Distribution (Module Waterfall)

The parties agree for the module**[Name]**The following distribution of earnings (after 25% core retention):

- **25% to the experts:**For code deployment and development.
- **25% to the initiator:**For providing the business logic and acquisition.
- **15 % Future-Expert-Pool:**Reserved for future expansions (managed by the initiator).
- **10 % Management-Pool:**Feeds the degressive management compensation of the executive management.

§ 5 Participation & Restriction of Transfer (Protection against Third Parties)

1. **Participation:**The expert receives [X]% of the shares in the Estonian OÜ (Vesting: 4 years / 1 year Cliff).
2. **Sales ban:**The shares are**vinculiert**A sale or transfer to a third party is**excluded without the written consent of the initiator**.
3. **Right of first refusal:**The initiator has the priority right to acquire shares at book value upon the expert's departure.

§ 6 Non-compete clause

The expert is prohibited from using the initiator's business logic for his own purposes or from developing competing systems based on this logic for third parties.